IN THE DISTRICT COURT OF THE VIRGIN ISLANDS

DIVISION OF ST. THOMAS AND ST. JOHN, BANKRUPTCY DIVISION

In re: JEFFREY J. PROSSER, Debtor.	Chapter 7 Case No. 06-30009
OAKLAND BENTA, JEFFREY J. PROSSER, AND DAWN E. PROSSER, Plaintiffs, v. CHRISTIE'S INC., CHARLES ANTIN, FOX ROTHSCHILD LLP, YANN GERON, WILLIAM H. STASSEN, DAVID M. NISSMAN, JAMES P. CARROLL, Defendants.	Adv. Proc. No. 3:21-ap-03001 (MFW)

OMNIBUS MEMORANDUM OF LAW IN SUPPORT OF MOTION TO DISMISS COMPLAINT PURSUANT TO FED. R. BANKR. P. 7012

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PRELIMINARY STATEMENT

The instant Complaint was filed by Jeffrey Prosser ("Prosser" or the "Debtor"), the debtor in this Chapter 7 bankruptcy case, his wife, Dawn Prosser ("Dawn Prosser"), and Oakland Benta ("Benta"), the former head of security for the Prosser family and Jeffrey Prosser's companies, who has acted as the Prossers' agent during the Debtor's bankruptcy case ("Prosser", "Dawn Prosser" and "Benta" are collectively referred to herein as "Plaintiffs").

The Complaint is the third attempt by Plaintiffs to assert claims against Defendants (although Defendant Trustee James Carroll (the "Trustee" or "Trustee Carroll") and Defendant Fox Rothschild LLP ("Fox") were not named as defendants in the first complaint filed in the United States District Court of the Virgin Islands (the "District Court"), discussed herein). The Complaint is also Prosser's latest attempt to claim that his bankruptcy case is the result of a retaliatory conspiracy. All of his previous complaints have been dismissed. The same result is justified here, as the Complaint is nothing more than a collateral attack on prior rulings by this Court, entered after an evidentiary hearing, which eviscerate the factual and legal foundation of the claims asserted. As explained herein, each of Plaintiffs' claims fail on multiple independent grounds and are subject to dismissal as a straightforward matter of law.[1]

FACTUAL BACKGROUND

A. Multiple Courts Have Already Rejected Plaintiffs' Racketeering Allegations.

This Court should note that large portions of the Complaint are devoted to factual allegations that do not reference any of the seven Defendants. Specifically, the Complaint sets forth Plaintiffs' "Overview of the Myriad Racketeering Enterprises," which they allege caused the involuntary Chapter 11 Bankruptcies of Prosser's companies. Complaint at pgs. 3-7. The Complaint is the latest in a long line of complaints filed by the Debtor against multiple parties in multiple jurisdictions asserting, as he does here, conspiracy claims that allegedly led to corrupt

[1] Defendants reserve the right to seek sanctions against Plaintiffs for the filing of the Complaint.

bankruptcy proceedings. This Court may take judicial notice that every such previous complaint has been dismissed.

Here, Plaintiffs allege that the National Rural Utilities Cooperative Finance Corporation ("CFC") is at the top of a hierarchy of enterprises. Complaint at pg. 4. Plaintiffs define certain entities as "CFC Control Persons." *Id.* Defendants are not included within the definition of CFC Control Persons. *Id.* Plaintiffs make conclusory allegations that CFC engaged in unspecified unlawful retaliatory acts directed at Prosser for the purpose of suppressing and discrediting him (defined in the Complaint as "Retaliatory Acts") and also directed such conduct at Benta. Complaint at pgs. 4-5. The Complaint alleges that CFC commenced lending to rural telephone companies through the Rural Telephone Finance Cooperative ("RTFC"). Complaint at pg. 4. Plaintiffs allege that unspecified racketeering activities were conducted by certain RTFC Control Persons. *Id.* Again, Defendants are not included in the definition of RTFC Control Persons. *Id.*

The Complaint asserts that a joint venture between RTFC and certain hedge funds (defined collectively as "Greenlight") was used by RTFC Control Persons to force Prosser and the entities under his control into bankruptcy. Complaint at pg. 5. The Complaint states "[o]n July 31, 2006, as a direct consequence of the Retaliatory Acts" involuntary petitions for bankruptcy were filed and four new "enterprises" were formed – the bankruptcy estates themselves that have been pending before this Court ever since the filing. Complaint at pg. 6. Importantly, all of this alleged conduct took place before this Court approved Defendants' role as professionals for the estate. *See* Complaint ¶¶2-20. In any event, the Prossers have asserted these same claims of racketeering and corruption in a number of other proceedings, all of which were

dismissed.[2]

B. This Court Has Already Made Findings Relating to the Allegations of the Complaint

The circumstances underlying the allegations in the Complaint arose over a decade ago. Set forth below is a summary of the relevant factual background, including this Court's prior findings that Defendants committed no wrongdoing with respect to the matters set forth in the Complaint.

1. Plaintiffs' "Shoys Wine Fraud" Allegations

On February 9, 2011, this Court entered a turnover order (the "Turnover Order") that required the Prossers to turn over their wine collection, including the Shoys Wines, to the Trustee. Complaint, ¶ 36. Plaintiffs allege that the "Chapter 7 Professionals were authorized by the Turnover Order to only pick-up and secure all the Shoys Wines." Complaint, ¶¶ 36, 67 (emphasis in original). Plaintiffs define this limited authorization as the "Lawful Charge." Complaint, ¶ 36. The Complaint alleges that Defendant Christie's, Inc. ("Christie's") and Trustee Carroll determined that the "Net Auction Proceeds" from the sale of the Shoys Wines were expected to be less than $200,000 or $100,000. Complaint, ¶50, 54. The Net Auction Proceeds for the sale of the Shoys Wines would be lower than wines stored in the continental United States because there were fewer wines (Complaint, ¶40), transportation costs were higher (Complaint, ¶42), and because of certain customs issues (Complaint, ¶¶43-49). Plaintiffs then claim that because the bankruptcy estate would receive Net Auction Proceeds lower than anticipated, "Defendants decided to reject

[2] *In re National Rural Utilities Cooperative Finance Corp.*, Adv. 09-52854, DE 180 (Bankr. DE, December 15, 2011) (dismissing Prosser's RICO claims and entering permanent injunction barring Prossers from again asserting claims); *see also In re National Rural Utilities Cooperative Finance Corp.*, Civ. Action No. 12-155 (D. DE, March 20, 2013); *Jeffrey J. Prosser v. Federal Agricultural Mortgage Corporation et al.*, Civil Case No. 08-cv-687 (D.D.C.). Prosser also filed a complaint captioned as *Prosser v. Jefferson B. Sessions III*, Civ. Case No. 17-cv-01662 (D.D.C.) seeking mandatory injunctive relief against the Department of Justice ("DOJ") that would require DOJ to intervene in this bankruptcy case. When the D.C. District Court dismissed the initial complaint, *Prosser v. Sessions*, 315 F. Supp. 3d 547 (D.D.C. 2018), Prosser filed an amended complaint. The District Court then dismissed the amended complaint with prejudice, describing the complaint as "salacious allegations of corruption, fraud, and malfeasance." That dismissal with prejudice was affirmed on appeal. *Prosser v. William P. Barr*, No. 19-5007 (D.C. Cir., May 2, 2019).

all the Shoys Wines, declare the Shoys Wines spoiled, and blame the Prossers for the loss. By doing so, Defendants could seek onerous sanctions against the Prossers (the "Shoys Wines Fraud")." Complaint, ¶54.

According to the Complaint, the Shoys Wine Fraud is established by a comparison of two Christie's emails referring to "wine packing materials." Complaint, ¶55. Plaintiffs do not connect why Defendants, in allegedly deciding to reject all the wines, sent emails concerning what wine packing materials to use. Plaintiffs then allege that, although Christie's representatives went to Shoys on July 29, 2011 to pick up the wine, Christie's actual intent was to reject the Shoys Wines. Plaintiffs assert that Christie's intent was established by: (i) the immediate on-site rejection of the wines; (ii) a discrepancy between whether Christie's required wines to be stored at 55° or 60°; (iii) a disagreement concerning whether the then-outside temperature in St. Croix was in the 90° range or 81°; (iv) an air conditioner that was unplugged in the room where the wine was stored; and (v) questions about whether the room contained broken wine bottles and bottles with leaking wine. Complaint, ¶66. Plaintiffs refer to the events surrounding the July 29, 2011 pick-up of the Shoys Wines as the "July 29th Events." *Id.* Christie's rejected the Shoys Wines at the time of this visit. Complaint, ¶66(f).

2. Plaintiffs' "Rogue VIPD Investigation Theory Implementation" Allegations

On August 4, 2011, Trustee Carroll filed his Motion to Enforce Turnover, for Contempt and for Sanctions in this Court asserting that the Shoys Wines were ruined (the "Trustee's Contempt Motion"). Complaint, ¶70. In response to the Trustee's Contempt Motion, Prosser filed a motion requesting an evidentiary hearing regarding the July 29th Events ("Evidentiary Hearing"). On September 3, 2011, over a month after the July 29, 2011 rejection of the Shoys Wines, Benta "filed a police report of the July 29th Events with the Virgin Islands Police Department ("VIPD") on behalf of Pl JProsser." Complaint ¶83 and Exhibit 2 to Complaint.[3] An investigation was

[3]Notably, the police officer who took Benta's report states: "I advised Mr. Benta that this was a civil matter and that it would have to be dealt with in civil court." Complaint, Exhibit 2. The responding officer wrote in the report that based on Benta's statements "I request this case be carried closed." Complaint, Exhibit 2.

subsequently commenced by VIPD Officer Cuthbert Cyril, not Benta. Complaint ¶83. As part of the investigation, subpoenas were issued to employees of Christie's Wine Department in September 2011 and to the Trustee in November 2011. Complaint ¶92, 102.

Plaintiffs allege that certain Defendants attempted to thwart the investigation by what Plaintiffs define as the "Rogue VIPD Investigation Theory Implementation." Complaint, ¶116. Yet, the two instances that Plaintiffs identify to support such a theory are far from actionable. First, Plaintiffs take issue with the Trustee's filing of a Motion for a Protective Order in this Court to quash the subpoenas and deposition notice ("Protective Order Motion" or "Motion for a Protective Order"). Complaint, ¶110; Case No. 06-30009, DE 3485. Plaintiffs contend that the Protective Order Motion called into question the legitimacy of the so-called investigation by, *inter alia*, attempting to discredit Office Cyril. Complaint, ¶¶ 110, 69(f). This Court may take judicial notice that on December 8, 2011, it conducted a hearing on the Motion for a Protective Order at which it took testimony.[4] This Court denied the Motion for Protective Order as moot because the subpoenas were withdrawn. 06-30009, DE 3507.

The second act that Plaintiff's claim obstructed the investigation is based on a mere alleged suggestion by Defendant David Nissman ("Nissman"), acting as Christie's counsel, to Benta that he terminate the investigation. Complaint, ¶116(b). Putting aside whether such conduct comes anywhere close to coercion, which it does not, the Complaint does not allege that Nissman suggested to Officer Cyril – the person actually conducting the purported investigation – that he terminate his efforts.

The Complaint admits that what Plaintiffs call the Shoys Wines Fraud "concluded" with this Court's September 18, 2012 Memorandum Opinion and Order (the "Wine Sanctions Opinion") [Adv. Pro. No. 07-03010, DE 1005 and 1006] and Order, which sanctioned the Prossers for the destruction of the Shoys Wines. Complaint, ¶120. The Complaint criticizes the Wine Sanctions Opinion for (1) accepting the opinion of an expert that the Shoys Wines were, in

[4]For example, an Assistant Attorney General testified at that hearing that the Attorney General's Office had no knowledge of a criminal investigation of the July 29th Events. Complaint, ¶116(a).

fact, ruined prior to Christie's arrival (Complaint, ¶120(b)); (2) referring to Benta as Prosser's employee, (Complaint, ¶82 (misnumbered para., p. 41)); and (3) excusing the unplugging of an air conditioner because the Shoys Wines were already destroyed and the unplugging only lasted 15 minutes. Complaint, ¶123.

Plaintiffs thereafter filed an appeal of the Wine Sanctions Opinion. Complaint, ¶124. While the appeal was pending, Plaintiffs claimed that certain facts emerged concerning the quality of the Shoys Wines and termination of Benta's employment (Complaint, ¶126), but they made no effort to supplement the record.[5] On February 23, 2017, the District Court affirmed this Court's imposition of sanctions. Complaint, ¶125.

CONCLUSION

For all the forgoing reasons, the Court should dismiss the Complaint with prejudice and order any other relief the Court determines is appropriate.

[5]The Complaint acknowledges that the Prossers were allowed an offset of the Sanctions Award for the Shoys Wines that were auctioned. The Court may take judicial notice that the wines were auctioned pursuant to this Court's Order entered on January 18, 2013 [06-30009, DE 4070] and that the auction took place on April 6, 2013 [06-30009, DE 4171] before the Appeal was decided.

Dated: November 2, 2021

Respectfully submitted,

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